



ICC exclusively on Facebook

Facebook has partnered with the ICC to secure exclusive digital rights until 2023 for global ICC events. <https://digit.in/oct19-11>



Bakkt Bitcoin scam

Bitcoin scammers are already impersonating Bitcoin futures plat Bakkt just days after its launch. <https://digit.in/oct19-12>

filed to the SC which challenges the legality of cryptocurrencies in India.

REVOLUTIONARY ORIGIN

Seeing as cryptocurrency grew in popularity in and around the year 2017 when its value exploded manifold, many people may believe that is a recently-invented technology. However, there are reports of people first toying around with the idea of digital money and virtual currencies as early as the 1980s. In the early 1990s, when most people across the globe were struggling to understand the new phenomenon – the internet, some erudite individuals had already realised its capabilities and the powerful tool it would become.



Cypherpunks led to the inception of cryptocurrency

Some of these clever individuals formed a group and were dubbed cypherpunks, a derivation of 'cypher' and 'cyberpunk'. They were of the opinion that the government and corporations wielded excessive power over the lives of civilians. Eric Hughes, Timothy C May and John Gilmore were the founders of this small group that met on a monthly basis. The group grew steadily and the members decided to set up a mailing list to get in contact with other 'Cypherpunks'. Hundreds of subscribers began exchanging thoughts, discussed developments and proposed and tested cyphers every single day. These exchanges were done using encryption methods, such as PGP, to keep them private and thus, ideas flowed and were freely shared, ranging from mathematics, cryptography and com-

puter science all the way to political and philosophical opinions.

Soon after, an American cryptographer, David Chaum invented the first-ever internet-based currency called DigiCash in the Netherlands. The currency, eCash garnered tremendous media coverage and even attracted the attention of Microsoft who wanted to put DigiCash on every Windows PC in exchange for \$180 million. However, this offer was declined and DigiCash continued making a few other lethal mistakes leading to its eventual bankruptcy in 1998. Cybercash was another such attempt, but unfortunately, it also ultimately failed.

In 1998, Wei Dai, a computer engineer and 'cypherpunk' published a proposal for 'b-money'. This was a practical method to enforce contractual agreements between two anonymous individuals or groups. In his proposal, he described two different methods of maintaining the transaction data - first, every participant on the network would keep a separate database of how much money belongs to the users and second, all the records are maintained by a specific set of users. In the second method, the users who have custody over the records of the transactions are incentivised to remain honest since they have their own money in a special account and they could lose it if they are dishonest. This method came to be known as 'proof of stake', and while Bitcoin uses the first method, many other cryptocurrencies, Ethereum being one of the most popular, use the proof of stake method due to its efficiency.

In 2005, Nick Szabo, a computer scientist and cryptographer, published

a proposal for BitGold which built on the ideas developed by other cypherpunks and cryptographers.

ENTER BITCOIN

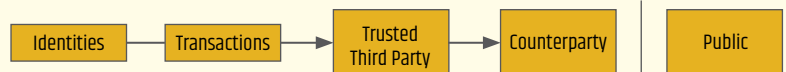
Global finance in 2008 was suffering, particularly due to the massive economic crisis in the USA. In the backdrop of this utter financial chaos,



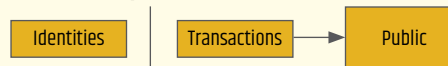
The world's first decentralised cryptocurrency

a new economy was emerging... In October 2008, Satoshi Nakamoto emerged (it is still unclear whether this was a group of people or an individual) and sent a white paper to the cypherpunks called 'Bitcoin: A Peer-to-Peer Electronic Cash System'. This paper was littered with direct references to cypherpunk inventions and works such as b-money and it also addressed multiple problems that the developers faced including something called double-spending, which is essentially the risk that a single token is utilised multiple times to purchase something. While the paper attracted a fair amount of critique from sceptics, Nakamoto persevered and mined the very first block of Bitcoin on January 3, 2009. He single-handedly triggered a wave of speedy progress in the field

Traditional Privacy Model



New Privacy Model



Bitcoin's privacy model from the Bitcoin white paper.